

INVIT RISK MATRIX



RISK: Regulatory and approval delays

EXPLANATION

Delays in necessary approvals and clearances for execution of the project



RISK: Contractual

EXPLANATION

Early termination of contracts, including concession agreements



RISK: Disputes and non-compliance

EXPLANATION

Disputes or failures to comply with contractual obligations



RISK: Force majeure events

EXPLANATION

Natural disasters and other unforeseen events. In a recent incident, the strike by local farmers in New Delhi saw people refusing to pay highway toll, causing loss of revenue and termination of toll agreements



RISK: Land and permitting challenges

EXPLANATION

Legal issues related to land acquisition and permits



RISK: Governance and oversight

EXPLANATION

Ineffective oversight by trustee, sponsor, or investment manager



RISK: Leverage

EXPLANATION

Highly leveraged projects may face covenant breaches, triggering accelerated repayment obligations

SOURCE RAJANI ASSOCIATES

78 |

demand is supporting sustained interest in the InvIT segment," he adds.

RETAIL INTEREST

InvITs, launched in India in 2016, with the first listing in 2017, saw limited success initially, discouraging retail participants. Most InvITs were sold as private placements to institutional investors, delivering steady payouts and gradual capital appreciation, which built confidence. At the same time, early listed InvITs such as India Grid Trust and IRB InvIT Fund improved their performance over time as their asset base expanded and cash flows stabilised.

"The first few InvITs did not perform well, with some trading below their issue price, exposing early retail investors to principal loss," says Kuljit Singh, Investment Banking Partner and Leader—Infrastructure, EY India.

In 2018, however, the product was positioned for retirement planning, as an alternative to fixed deposits. With regular cash distribution, often 10% annualised, potential capital appreciation, and listings that provide transparency, InvITs are becoming popular among retail investors seeking stable returns by participating in India's growth story.

Yet, though retail engagement with InvITs has grown steadily over the past few years, fueled by the Securities and Exchange Board of India's (Sebi's) reduction of the minimum investment to ₹10,000 for a unit, rise in new listings, and better investor awareness, individual ownership still lags. "Industry data shows that retail investors hold only 5% units, while institutional players, both domestic and global, dominate with a 95% share," says N.S. Venkatesh, CEO of Bharat InvITs Association.

Now that some investors have made decent returns, industry insiders expect retail participation to increase significantly. InvITs have outperformed traditional asset classes like bank FDs. In a savings account, you get 3-4% interest; in an FD, 6-7%, but then your money is blocked. "Most InvITs are giving 10% on the market price. You can hold the unit for less than a year and still get 10% annualised return. Over the years, there has been capital appreciation, too," says Singh.

But perhaps the most fair comparison is with another asset class born with InvITs—real estate investment trusts (REITs), which own or operate real estate projects, deriving returns from rent and the appreciation of the asset. In India, RE-